

Indian Railway Finance Corporation Ltd (IRFC)

Revenue CAGR
14.9%

PAT CAGR
15.4%

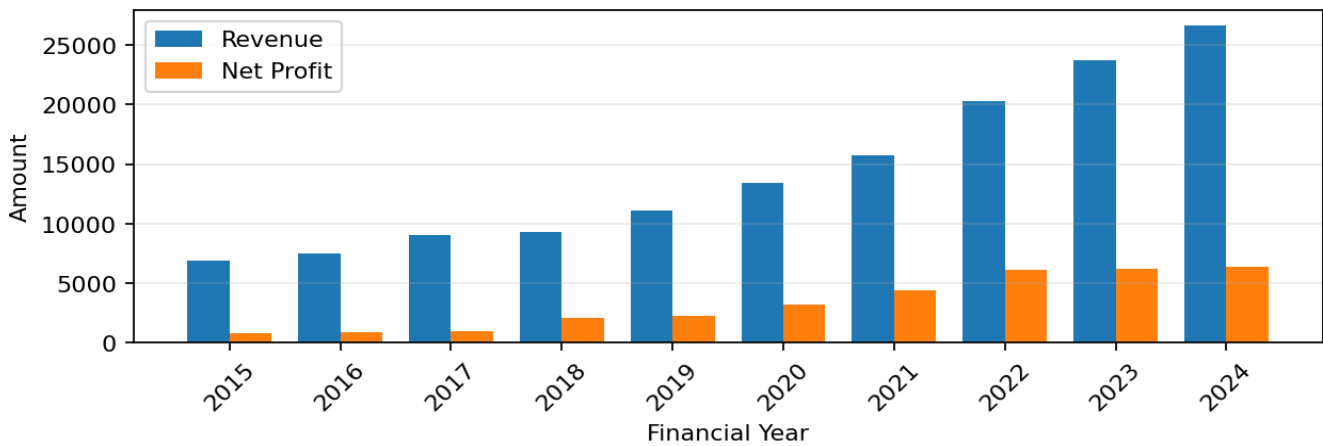
ROE
13.0%

ROCE
5.7%

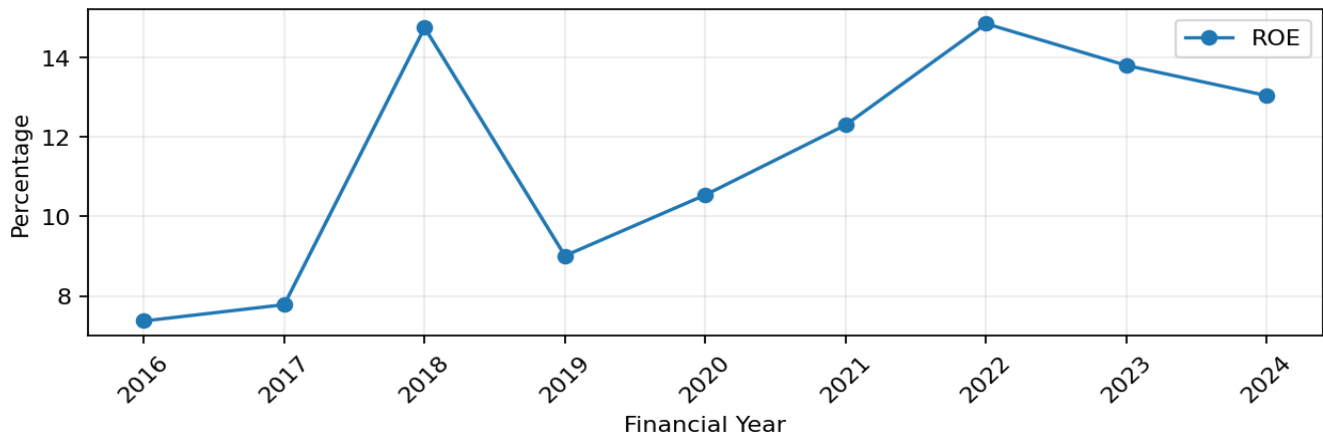
Debt/Equity
8.38

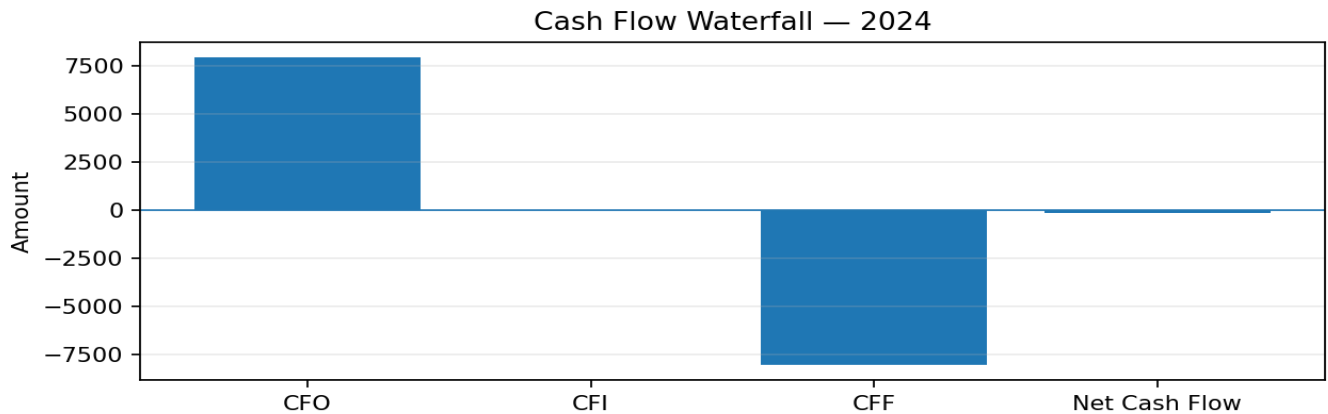
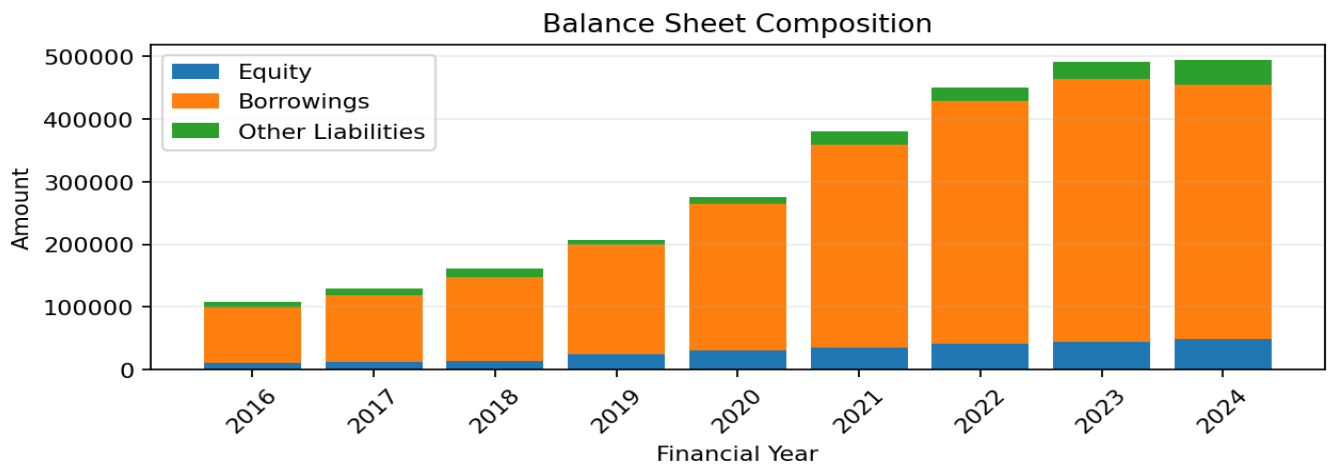
FCF Conversion
-904.6%

10-Year Revenue and Net Profit



ROE Trend





Capital Allocation: Deleverager

Pros

- Operating profit margin above 25% indicates strong pricing power and cost discipline.
- Growing asset base with declining debt reflects growth supported by internal accruals.
- Profits growing faster than revenue demonstrate improving operating leverage and scale benefits.

Cons

- Net debt of approximately 15.40 times EBITDA represents high leverage and limits financial flexibility.
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital.
- Interest coverage ratio below 1.5x indicates risk in meeting debt obligations.